



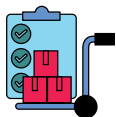
THE CENTRE HAS BEEN TRYING TO REDUCE DEPENDENCE ON IMPORTS



DPIIT HAS TRACKED 100 IMPORTS WHERE MANUFACTURING CAN BE IMPROVED



WORKING GROUPS SET TO EXPLORE MEASURES



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2015, India did not feature among the top 10 importing countries globally, but by 2024 it was the seventh largest importer, accounting for 2.9% of global imports.

A deeper dive into the data reveals that India's import profile has undergone a significant transformation over the past decade. According to CMIE data, the country's total import bill increased from \$448.8 billion in FY14 to \$776 billion in FY26, recording growth of around 73%. However, the rise in imports was not driven by petroleum, which historically accounted for a large share. Instead, the growth increasingly came from sectors such as electronics, engineering goods and other manufactured products.

Crude oil and petroleum products remained India's largest import category, but growth in this segment was relatively limited. Petroleum imports increased only from \$164.9 billion in FY14 to \$173.6 billion in FY26, or just 5%. As a result, the share of petroleum in India's import basket declined significantly from nearly 37% in FY14 to about 22% in FY26. This indicates that India's imports have diversified gradually.

The strongest growth in the past decade came from non-oil categories. Electronic goods emerged as the fast-

est-growing import segment, rising from \$35.8 billion in FY14 to \$119.2 billion in FY26, recording a jump of 233%. This reflects rising demand for consumer electronics, smartphones and electronic components.

Engineering goods also more than doubled, increasing from \$72.9 billion to \$156.3 billion during the period, representing growth of 115%. Imports of chemicals and related products doubled from \$36.1 billion to \$73.9 billion, while other manufactured goods increased from \$81.1 billion to \$154.4 billion, a rise of around 90%.

Notably, imports of agricultural and allied products grew 155% from \$15.8 billion to \$40.3 billion. Ores and minerals imports rose from \$24.5 billion to \$42.4 billion, broadly in line with the overall trend.

Economists and policymakers agree that not all imports are bad. Indeed, for developing economies like India, imports are necessary, especially of technology and capital goods. The challenge arises during crises like the present one, when financing imports becomes costlier, and if domestic manufacturing capabilities do not scale up in the long run. India has been having trouble on both these fronts.

Arora of Emkay Global Financial Services says that there is nothing wrong with import dependence provided the economy can fund it. "It is normal for developing countries to import capital goods for their growth requirements," she says. "But they have to work on increasing the efficiency of imports and ensure they lead to productive outcomes that would over the years result in higher exports," she says.

India's imports have not been a problem until last year when funding became a challenge as capital flows started drying up and there is now pressure on the current and capital accounts, says Arora. India's trade deficit has been a matter of concern, but services was doing well and the country was able to manage balance of payments.

Amitendu Palit, Senior Research Fellow and Research Lead (Trade and Economics), Institute of South Asian Studies at the National University of Singapore, says that under normal circumstances, higher imports and trade deficit show greater absorption in an economy.

"This is usually normal for a large developing economy like India which is growing at a fast rate. However, persistently high imports of essential items can create other macroeconomic problems," he warns. That could deplete foreign exchange and result in higher domestic costs of several items.

From a geoeconomic perspective, high imports also demonstrate a dependency on the rest of the world for several products, whose disruptions can cause shortages and generate strategic vulnerabilities, he says.